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Boris's Brexit Dilemma (B)

Macroeconomist Estimates of the Financial Impact of Brexit

After British prime minister Boris Johnson reviewed the various proposals for Brexit that the European Union (EU) and the United Kingdom (UK) seemed likely to agree on, he turned to some rough estimates of the various costs. These numbers were subject to change and variation depending on the terms of the deal and the underlying economic conditions, but he knew they would provide a rough guideline on what the EU and the UK might anticipate.

A favorable soft Brexit was very generous to the UK. The UK would get a high degree of access to EU markets and be able to trade on favorable terms with the bloc. Moreover, the regulations imposed on the UK would be limited, or the costs to impose the regulations would be borne by the EU. Johnson anticipated that such a deal would still cost the UK £19 billion as a result of the disruption and some other ancillary costs to setting up entirely new systems to parallel the EU. Nevertheless, it would be very favorable to have that be the relative cost of a free-trade deal. The EU was responsible for 46% of UK exports, so any impact on trade would be magnified.[1] In this type of deal, the EU would bear costs relating to regulations and imports, likely including subsidies to support EU companies that would have to compete with (unregulated) British competitors, and additional costs to ensure political support for the deal across the member nations. Johnson anticipated the cost to the EU to be around £13 billion.

On the other hand, an unfavorable deal would involve the UK paying a premium for access to the European market and being forced to conform to the mainland's regulations. In such a scenario, the cost to the UK would be approximately £27 billion. The EU still would have to pay for some regulatory framework and costs, but the cost to the EU for such a deal would be substantially lower, at £5 billion.

Finally, Johnson considered an agreement that was fairly neutral for both sides. In that case, he estimated that the EU cost would be approximately £9 billion, while the UK cost would be about £23 billion. In this scenario, each side would be responsible for its own border and exports, with minimal regulatory costs including only the most essential and agreeable ones.

[1] "UN Study Projects $32 Billion Loss for UK Post No-Deal Brexit," *UN News*, February 26, 2020, https://news.un.org/en/story/2020/02/1058131 (accessed Oct. 14, 2022).

This public-sourced case was prepared by Alexander Gregorio (MBA/JD '21) under the guidance of Saša Zorc, Assistant Professor of Business Administration. It was written as a basis for class discussion rather than to illustrate effective or ineffective handling of an administrative situation. All thoughts pertaining to Boris Johnson were created for pedagogical reasons. Copyright © 2023 by the University of Virginia Darden School Foundation, Charlottesville, VA. All rights reserved. *To order copies, send an email to* sales@dardenbusinesspublishing.com. *No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of the Darden School Foundation. This publication is protected by copyright and may not be uploaded in whole or part to any AI, large language model, or similar system, or to any related training database.* Our goal is to publish materials of the highest quality, so please submit any errata to editorial@dardenbusinesspublishing.com.

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